

United Kingdom Temperance and General Provident Institution Act 1974

CHAPTER x

ARRANGEMENT OF SECTIONS

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Schedule 1—Rules of United Kingdom Temperance and General Provident Institution.

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ELIZABETH II



1974 CHAPTER x

An Act to confer further powers upon United Kingdom
Temperance and General Provident Institution; to
make further provision for the regulation and
management of the Institution; and for other purposes.
[23rd May 1974]

WHEREAS—

(1) The United Kingdom Temperance and General Provident Institution (hereinafter called “the Institution”) was originally established and enrolled in 1840 under the laws then in force relating to friendly societies with the object of raising by subscriptions amongst the members thereof a fund for the mutual benefit of such members and to grant, make or effect all such assurances on lives, survivorships, contingencies and events dependent on or connected with life or otherwise as might by law be made or effected and generally to transact all descriptions of business ordinarily transacted by life assurance companies or known as life assurance business:

1909 c. x.

(2) By the United Kingdom Temperance and General Provident Institution Act 1909 (hereinafter called “ the Act of 1909 ”) the Institution was incorporated with the objects and powers therein set forth and the previously existing rules of the Institution were repealed and it was provided that the Institution should cease to be under or subject to the Friendly Societies Acts as therein defined:

1930 c. li.

(3) By the United Kingdom Temperance and General Provident Institution Act 1930 the powers of investment of the Institution conferred by the Act of 1909 were varied and extended and further provision was made as to the objects of the Institution:

(4) It is expedient in order to enable the Institution to carry on its business to the best advantage and to regulate the management of its affairs in accordance with modern requirements and modern practice, that the objects and powers of the Institution should be extended, that new rules should be substituted for the existing rules as the rules of the Institution and that further provision should be made for the regulation and management of the Institution:

(5) It is expedient that the Institution should be empowered to register under the Companies Acts 1948 to 1967:

(6) It is expedient that certain provisions of the United Kingdom Temperance and General Provident Institution Acts 1909 and 1930 should be repealed:

(7) It is expedient that the other provisions contained in this Act should be enacted:

(8) The purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen’s most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short and
collective
titles.

1.—(1) This Act may be cited as the United Kingdom Temperance and General Provident Institution Act 1974.

(2) The Act of 1909 and this Act may be cited together as the United Kingdom Temperance and General Provident Institution Acts 1909 and 1974.

2.—(1) In this Act, unless the context otherwise requires— Interpretation.

“ the Act of 1909 ” means the United Kingdom Temperance
and General Provident Institution Act 1909; 1909 c. x.

“ the directors ” means the directors for the time being of
the Institution;

“ enactment ” includes any public general, local or private
Act, and any order or other instrument having the
force of an Act;

“ existing ” means existing immediately before the passing
of this Act;

“ the Institution ” means United Kingdom Temperance and
General Provident Institution;

“ member ” has the meaning from time to time ascribed to
it in the rules;

“ policy ” means a contract of insurance in respect of which
the Institution is the insurer whether or not evidenced
or effected by the issue of a policy, bond or endowment
certificate and includes a contract to pay an annuity on
human life;

“ the rules ” means the rules of the Institution as set out in
Schedule 1 to this Act, or as from time to time altered
by special resolution;

“ special resolution ” means a resolution of the Institution
passed by a majority of not less than three-fourths of
such members as vote at a general meeting of which not
less than twenty-one days' notice specifying the intention
to propose the resolution as a special resolution has been
duly given.

(2) Any reference in this Act to any enactment shall, unless the
context otherwise requires, be construed as a reference to that
enactment as applied, amended, extended or re-enacted by or by
virtue of any enactment including this Act.

3.—(1) On the passing of this Act the name of the Institution shall be “ United Kingdom Temperance and General Provident Institution ”. Name of the Institution.

(2) The Institution may from time to time with the sanction
of a special resolution and with the consent in writing of the
Secretary of State for Trade change its name but no such change
of name shall be effective until it is advertised in the London
Gazette.

(3) A change of name by the Institution shall not affect any
of its rights or obligations or render defective any legal proceedings

by or against the Institution, and any legal proceedings that might have been continued or commenced by or against it by its former name may be continued or commenced by or against it by its new name.

Rules.

4. On the passing of this Act, the rules shall become and be the rules of the Institution in lieu and to the exclusion of the existing rules of the Institution; but nothing in this Act shall prejudice the power of the Institution from time to time by special resolution to repeal or alter all or any of the rules or to make new rules to the exclusion of or in addition to the rules and so that rules or alterations so made shall be of the same validity as if originally contained in the rules and shall be liable to be repealed or altered by any subsequent special resolution:

Provided that no such repeal, rule or alteration shall be made which would be inconsistent with any provision for the time being in force of the Act of 1909 or this Act.

Objects and powers.

5. For the avoidance of doubt, it is hereby declared that the rules may define the objects and powers of the Institution, and the manner in which they or any of them may be altered or extended.

Limitation of liability.

6.—(1) The repeal of section 26 of the Act of 1909 by virtue of section 12 of this Act shall not confer upon the holder of any existing policy any right to recover from the members or any of them any sum due or becoming due under such policy; and all existing policies shall be deemed to have been issued or granted on the terms that the funds of the Institution shall alone be liable therefor.

(2) Without prejudice to the efficacy of any such terms as aforesaid contained in any existing policy or class of policies, the Institution shall have power to issue or grant policies on the said terms; and any such term contained in a policy issued after the passing of this Act shall be valid and effectual.

(3) Neither the Institution nor any other person shall have any power to call upon any member to pay any sum of money not payable by him under the terms of his policy by virtue of which he is a member for the purpose of meeting or contributing to any liability of the Institution.

Payment to personal representatives.

7. Where any sum of money shall be payable by the Institution under any policy or otherwise to the executors or administrators of any person the directors may make payment of such sum to such executors or administrators on production to them of any probate of the will of such person or letters of administration to his estate or other grant of representation obtained in any part

of the United Kingdom and the receipt or discharge granted by such executors or administrators shall be valid and effectual in favour of the Institution:

Provided that nothing contained in this section shall affect the operation of the provisions of section 19 of the Revenue Act 1889.

1889 c. 42.

8. The Institution shall not be bound to see to the execution of any trust whether express, implied or constructive to which any policy may be subject and a discharge of such policy by the person in whom the same may be legally vested shall in all cases be a sufficient discharge and exoneration to the Institution of and from all liability thereunder notwithstanding any trust to which such policy may then be subject and whether or not the Institution has had notice of such trust.

Institution not to be bound by trusts.

9.—(1) The person in whom any policy is legally vested whether such person is beneficially entitled thereto or holds the same as mortgagee or as a trustee for any other person may (unless being a mortgagee or trustee he is to the knowledge of the directors expressly prohibited from so doing by the terms of his mortgage or trust) surrender such policy in whole or in part to the Institution either for a cash payment or in consideration of the policy being converted into a paid-up policy for a reduced amount or in exchange for any paid-up or other policy to be substituted for the original policy or for any other consideration or may otherwise deal with such policy as may be agreed between such person and the directors and if any policy is legally vested in the Institution as mortgagee or is charged to it by way of deposit or otherwise the Institution may surrender such policy to itself giving credit or otherwise accounting for its surrender value.

Power to surrender and deal with policies.

(2) Any surrender or agreement made or entered into under this section shall be valid and effectual in all respects.

10. Any process or notice required to be served on the Institution may (without prejudice to any other method of service) be served by addressing it to the secretary or other officer of the Institution authorised in this behalf by the directors and leaving it at the principal office of the Institution.

Service of process.

11.—(1) Notwithstanding anything contained in section 382 (1) of the Companies Act 1948, the Institution may register as a company limited by guarantee in pursuance of Part VIII of that Act (and that Part of that Act shall apply accordingly) with—

Power to register under the Companies Acts.

- (a) the previous sanction of a special resolution approving such registration and specifying the amount of the guarantee at a sum not exceeding five pence per member; and

1948 c. 38.

c. x *United Kingdom Temperance and General Provident
Institution Act 1974*

(b) the previous consent in writing of the Secretary of State for Trade;

and upon such registration section 6 (3) of this Act shall cease to have effect.

(2) A special resolution passed pursuant to subsection (1) of this section shall be binding upon every person who shall be a member at the date of the passing of the resolution.

Repeals.

12. The enactments mentioned in the first column of Schedule 2 to this Act are hereby repealed to the extent mentioned in the second column of that schedule.

Institution
not exempt
from
provisions of
the Insurance
Companies
Acts.

13. Nothing in this Act shall be deemed to exempt the Institution from the provisions of the Insurance Companies Acts 1958 to 1973.

Costs of Act.

14. All costs, charges and expenses preliminary to and of and incidental to the preparation, obtaining and passing of this Act or otherwise in relation thereto, shall be paid by the Institution.

SCHEDULES

SCHEDULE 1

Sections 2 and 4

RULES

OF

UNITED KINGDOM TEMPERANCE AND GENERAL PROVIDENT INSTITUTION

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—cont.

Definitions.

INTERPRETATION

1.01. In these rules, unless the context otherwise requires:—

“ the Act of 1974 ” means the United Kingdom Temperance and General Provident Institution Act 1974;

“ the actuary ” means the actuary for the time being of the Institution appointed under section 3 (5) of the Insurance Companies Amendment Act 1973;

“ the auditors ” means such auditors as for the time being are the Institution’s auditors or are respectively the Institution’s auditors and the directors’ auditors appointed pursuant to rule 20;

“ the board ” means the board of directors of the Institution or such of the directors as are present at a duly convened meeting of the board of directors of the Institution at which a quorum is present;

“ the directors ” means the directors for the time being of the Institution;

“ existing ” means existing immediately before the passing of the Act of 1974;

“ the Institution ” means United Kingdom Temperance and General Provident Institution;

“ intoxicating liquor ” means any fermented, distilled or spirituous liquor which cannot be lawfully sold without a licence;

“ member ” means a person who is an original grantee from the Institution of a subsisting policy of which he remains the beneficial owner whether such policy was granted before or after the passing of the Act of 1974 and whether incumbered or not or if the grantees of any such policy are more than one the grantee nominated for that purpose by notice in writing sent to the Institution by all such grantees or failing such nomination the grantee whose name appears first in the policy;

“ month ” means calendar month;

“ officer ” means an employee of the Institution appointed to his office by the board;

“ policy ” means a contract of insurance in respect of which the Institution is the insurer whether or not evidenced or effected by the issue of a policy, bond or endowment certificate and includes a contract to pay an annuity on human life;

“ policy holder ” means the person for the time being entitled in law to a policy;

“ principal office ” means such office as shall from time to time be designated by the board as the head office for the time being of the Institution in the United Kingdom;

“ the secretary ” means the person for the time being appointed by the board to be secretary of the Institution, who will perform such duties as may be required by law to be performed by the secretary or are otherwise assigned to him by the board and includes any officer appointed by the board to carry out such duties;

1973 c. 58.

“special resolution” means a resolution of the Institution passed by a majority of not less than three-fourths of such members as vote at a general meeting of which not less than twenty-one days’ notice specifying the intention to propose the resolution as a special resolution has been duly given;

SCH. 1
—cont.

“these rules” means the rules of the Institution as enacted in the Act of 1974, or as from time to time altered by special resolution;

“the United Kingdom” means the United Kingdom of Great Britain and Northern Ireland and includes the Isle of Man.

1.02. Unless the context otherwise requires words importing persons include bodies corporate or unincorporate, words importing the singular include the plural and vice versa, words importing the masculine gender include the feminine, and words and phrases defined in the Insurance Companies Acts 1958 to 1973 shall bear the same meanings in these rules. References in these rules to any Act of Parliament shall include references to that Act as amended, extended or re-enacted from time to time. The headings and marginal notes shall not affect the construction of these rules. Interpretation.

OBJECTS AND POWERS

2.01. The objects and powers of the Institution are:—

Objects and
powers.

- (a) To carry on ordinary long-term insurance business;
- (b) To reinsure or counterinsure any risk or any part or parts thereof and to undertake all kinds of reinsurance and counter-insurance within the objects for the time being of the Institution;
- (c) To carry on any other business which in the opinion of the board may be advantageously carried on in connection with or ancillary to any of the businesses or activities authorised by these rules or which the board considers is calculated to enhance directly or indirectly the value of any of the Institution’s undertaking, property or assets and to do all or any of the things authorised by these rules;
- (d) To acquire, hold and exercise controlling and other interests in any other body corporate carrying on or proposing to carry on any business which the Institution is authorised to carry on or which may be conveniently carried on in association with any business of the Institution, and to invest the funds of the Institution in the acquisition of such investments, property and rights of whatsoever nature and wheresoever situate, or by way of loan with or without security, as may from time to time seem expedient;
- (e) Subject to the Insurance Companies Acts 1958 to 1973, to purchase or acquire or contract for carrying on or administering the whole or any part or branch of the business, property or undertaking of and in connection with such purchase or acquisition to take over and discharge any of the liabilities of or to amalgamate with or acquire any interest in any

SCH. 1
—cont.

body corporate carrying on any business or undertaking within the objects for the time being of the Institution and also to enter into any contracts or arrangements with any such body corporate relative to or regulating the conduct of business or for pooling business or sharing profits which the Institution may deem expedient;

(f) To do all such other things as are incidental or conducive to the attainment of the objects for the time being of the Institution or any of them;

(g) To do all or any of the things hereinbefore authorised in any part of the world, and either as principals, agents, contractors, trustees or otherwise and by or through trustees, agents, subsidiary and associated companies or otherwise and either alone or in conjunction with others.

Alteration of
objects and
powers.

2.02. The objects and powers of the Institution may from time to time be altered or extended by special resolution.

GENERAL MEETINGS

Annual general
meetings.

3.01. The Institution shall in each year hold a general meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the meeting as such in the notice calling it. Not more than fifteen months shall elapse between the date of one annual general meeting and that of the next.

Other general
meetings.

3.02. All general meetings other than annual general meetings shall be called extraordinary general meetings.

CONVENING AND NOTICE OF GENERAL MEETINGS

Convening
by board.

4.01. The board shall convene each annual general meeting and may whenever it thinks fit convene an extraordinary general meeting. Upon receipt of the requisition of not less than fifty members, the board shall within thirty-five days after the receipt of such requisition convene an extraordinary general meeting. Such requisition shall specify the purpose for which such meeting is to be convened and shall be in writing signed by the requisitionists, but may consist of one or more documents in like form each signed by one or more requisitionists, and shall be deposited at the principal office. The meeting must be convened for the purpose specified in the requisition and, if convened otherwise than by the board, for that purpose only.

Convening by
requisitionists.

4.02. If the board does not within thirty-five days after the receipt of the requisition convene a meeting on not more than thirty-five days' notice the requisitionists may themselves convene such meeting to be held within three months after the receipt of such requisition.

Place and time.

4.03. Every general meeting shall unless the board otherwise directs be held at the principal office. The time of any general meeting shall be such time during the Institution's normal business hours as shall be decided by the conveners of the meeting.

4.04. An annual general meeting and an extraordinary general meeting convened for the passing of a special resolution shall be convened by at least twenty-one days' notice. Any other extraordinary general meeting shall be convened by at least fourteen days' notice.

SCH. 1
—cont.

Period of
notice.

4.05. Notice of every annual general meeting shall be given in writing to each member and to the auditors. Notice of every extraordinary general meeting shall be given either in the manner provided for annual general meetings or by advertisement in not less than three daily newspapers published in London. The accidental omission to give notice of a meeting to, or the non-receipt of notice of meeting by, any person entitled to receive notice shall not invalidate the proceedings at that meeting.

Persons entitled
to notice.

4.06. The notice or advertisement convening a general meeting shall state—

Contents of
notice.

- (a) whether the meeting is an annual general meeting or an extraordinary general meeting;
- (b) the place, day and hour of the meeting and, in the case of special business, the general nature of the business;
- (c) if the meeting is convened to consider a special resolution, either the actual resolution proposed to be passed or sufficient detail to show the effect of the proposed resolution and a statement that the actual resolution proposed can be inspected during the Institution's normal business hours at its principal office.

4.07. Where a general meeting is convened by requisitionists, notice of such meeting shall also be given to the Institution at the principal office and to the auditors not less than twenty-one days before the meeting.

Notice to
Institution.

PROCEEDINGS AT GENERAL MEETINGS

5.01. All business shall be deemed special that is transacted at an extraordinary general meeting, and also all business that is transacted at an annual general meeting with the exception of the ordinary business of an annual general meeting namely the consideration of the accounts and balance sheet and the reports of the directors and auditors, the election of directors, and the appointment or reappointment of the Institution's auditors and the fixing of the remuneration of the auditors.

Ordinary and
special business.

5.02. No business shall be dealt with at an annual general meeting unless it arises immediately out of the ordinary business of the meeting or proper notice of it has been given in accordance with rule 4.06. No business shall be dealt with at an extraordinary general meeting other than that for which the meeting has been convened.

Business.

5.03. The quorum for a general meeting shall be three members present in person except in respect of a general meeting at which a special resolution is to be proposed to repeal or alter these rules

Quorum.

SCH. 1 when the quorum shall be fifty members present in person. Except
—cont. as hereinafter provided business shall be transacted only while a
quorum is present.

If no quorum. 5.04. If within fifteen minutes after the time fixed for the meeting a
quorum is not present, the meeting if convened upon the requisition
of members shall be dissolved; in any other case the meeting shall
without further notice be adjourned to the same day in the next week
at the same time and place and if at such adjourned meeting a quorum
is not present at the time appointed for the meeting those members
present in person shall be a quorum and may transact the business
for which the meeting was called.

Chairman. 5.05. The chairman of the board shall be entitled to take the chair
at every general meeting, or if there is no chairman of the board or if
he is not present within fifteen minutes after the time fixed for the
meeting or is unwilling to act or retires from the chair, the deputy
chairman or the senior of the deputy chairmen present and willing to
act may take the chair, and in default, the directors present shall
elect one of their number to be chairman of the meeting or if there is
only one director present such director shall take the chair at the
meeting. If no director is willing to act as chairman of the meeting
or if no director is present within fifteen minutes after the time fixed
for the meeting, the members present in person may choose one of
their number to be chairman of the meeting.

Seniority between several deputy chairmen shall be determined
(in the absence of any specific determination to the contrary by the
board) by reference to the time when each was first appointed to the
office of deputy chairman.

Adjournment. 5.06. The chairman of the meeting may, if he thinks fit, and shall,
if so directed by the meeting, adjourn the meeting from time to time
and from place to place, but no business shall be transacted at any
adjourned meeting other than the business left unfinished at the
meeting from which the adjournment took place. When a meeting is
adjourned for thirty days or more, notice of the adjourned meeting shall
be given in the same way as a notice convening a general meeting but
it shall not otherwise be necessary to give any notice of an adjournment
or of the business to be transacted at an adjourned meeting.

Chairman at
adjourned
meetings. 5.07. At an adjourned general meeting the chairman of the meeting
from which such adjournment took place, if present and willing to act,
shall continue in the chair, but if he is not present or is unwilling to act
a new chairman shall take, or be elected or chosen to take, the chair
in accordance with rule 5.05.

VOTING AT GENERAL MEETINGS

Voting. 6.01. At any general meeting a resolution put to the vote of the
meeting shall be decided on a show of hands unless on or before the
declaration of the result of the show of hands a poll is demanded by
the chairman or by at least fifty members present in person. Unless

a poll is so demanded, a declaration by the chairman of the meeting that a resolution has on a show of hands been carried or carried unanimously or by a particular majority or lost or not carried by a particular majority, and an entry to that effect in the book containing the minutes of the proceedings of the Institution, shall be conclusive evidence of the fact, without proof of the number or proportion of the votes recorded in favour of or against such resolution.

SCH. 1
—cont.

The demand for a poll may be withdrawn.

6.02. At a general meeting every member present in person shall have one vote on a show of hands. On a poll every member submitting a valid voting paper in accordance with rule 6.04 shall have one vote.

Voting rights.

6.03. In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the meeting shall be entitled to a casting vote in addition to any vote to which he may be entitled as a member.

Casting vote.

6.04. If a poll is demanded as aforesaid the board shall cause voting papers to be prepared and sent out as soon as practicable to all the members who for the time being are entitled to notice of general meetings with instructions as to the method of filling up and returning the same to the Institution and at the expiration of ten days after such voting papers have been sent out the votes received and all returned voting papers shall be counted by or under the supervision of the auditors with such other person or persons as the board shall appoint and the result of the poll shall be certified by the auditors and by the chairman or some other director appointed by the board for the purpose and shall be deemed to be the resolution of the meeting at which the poll has been demanded and notice of the result shall be given by advertisement in three daily newspapers published in London.

Polls.

6.05. Any business other than that upon which a poll has been demanded may be proceeded with pending the taking of the poll. No poll shall be demanded on the election of a chairman of the meeting or on the question of the adjournment of the meeting.

Proceeding
with business.

6.06. A body corporate being a member may by resolution of its directors or other governing body authorise such person as it thinks fit to act as its representative at any general meeting and such person so authorised shall be entitled to exercise the same powers on behalf of such body corporate as that body corporate could exercise if it were an individual member.

Votes of
corporations.

6.07. Any member incapable, by reason of mental disorder within the meaning of the Mental Health Act 1959, of managing and administering his property and affairs may vote by his receiver or other person authorised to act on his behalf but no person claiming to vote pursuant to this rule shall do so unless such evidence of his authority as the board may require has been deposited at the principal office not less than two clear working days before the time for holding the meeting at which he wishes to vote.

Votes of
incompetents,
1959 c. 72.

6.08. No objection shall be raised to the qualification of any voter except at the meeting or poll at which the vote objected to is given or

Objections to
qualification
of voters.

SCH. 1
—cont. tendered, and every vote not disallowed at such meeting or poll shall be valid for all purposes. Any such objection made in due time shall be referred to the chairman of the meeting, whose decision shall be final and conclusive.

DIRECTORS

Number. 7.01. Unless and until otherwise determined by the Institution in general meeting the directors shall be not less than seven nor more than fifteen in number. The Institution in general meeting may by resolution increase or reduce the number of directors and may also determine in what rotation the increased or reduced number shall retire from office.

Existing directors. 7.02. The existing directors shall continue in office on the terms of these rules.

Qualification. 7.03. No director shall be appointed or elected or continue in office unless he is a member in respect of a whole life or endowment policy on his own life for a basic sum assured of not less than £1,000 and entitled to participate in profits.

Age limit. 7.04. No person shall be appointed or elected a director if he has attained the age of seventy and any director who attains that age shall vacate office at the conclusion of the next following annual general meeting and shall not be eligible for re-election.

Remuneration. 7.05. The directors as a body shall be paid remuneration for their services at the rate of £17,325 per annum or at such other rate as the Institution in general meeting may determine and such remuneration shall be divided amongst them in such proportions and manner as the board shall determine or, in default of such determination, equally. Such remuneration shall accrue from day to day.

Any director who at the board's request performs any special services or makes any special journeys on behalf of the Institution may receive such reasonable expenses and such reasonable additional remuneration, by way of salary or otherwise, as the board may decide.

APPOINTMENT, RETIREMENT AND DISQUALIFICATION OF DIRECTORS

Retirement by rotation. 8.01. At each annual general meeting three of the directors, or such other number as may from time to time be determined by the Institution in general meeting, shall retire from office. A director retiring at any general meeting shall hold office until the conclusion of that meeting or any adjournment of it. A retiring director shall be eligible for re-election.

Which directors to retire. 8.02. The directors to retire by rotation shall be those (excluding any managing, assistant managing or executive directors who, by virtue of rule 14.02, are not subject to retirement by rotation) who have been longest in office. As between two or more directors who have been in office for an equal length of time, the director to retire shall, in default of agreement between them, be decided by lot. The length of time for which a director has been in office shall, if he has previously vacated office, be computed from his last election.

8.03. The Institution, at the annual general meeting at which a director retires, whether by rotation or having been appointed to fill a casual vacancy or as an addition to the existing directors under rule 8.06, may fill the vacated office by electing a person thereto, and in default the retiring director shall, if offering himself for re-election, be deemed to have been re-elected, unless at such meeting it is expressly resolved not to fill such vacated office, or unless a resolution for the re-election of such director shall have been put to the meeting and lost. The proposer of any candidate for the office of director must be a member. A motion for the election of two or more persons as directors by a single resolution at a general meeting shall not be made.

SCH. 1
—cont.

Meetings may
fill vacancies.

8.04. No person, other than a retiring director or a person recommended by the board for election, shall be eligible for election as a director at an annual general meeting unless during the month of January preceding such annual general meeting notice in writing signed by three members has been given to the Institution at the principal office of the full name, residential address and professional or business qualifications of the person intended to be proposed for election, together with a declaration in writing signed by that person of his willingness to serve if elected.

Eligibility
for election.

8.05. The Institution may by ordinary resolution remove a director from office. Not less than twenty-one days' notice of a meeting at which a resolution to remove a director from office is to be proposed shall be given to the director who shall be entitled to receive a copy of the resolution, and the director shall be entitled to be heard on the resolution at the meeting.

Removal by
ordinary
resolution.

8.06. The board may, subject to rules 7.01, 7.03 and 7.04, appoint any person to be a director, either to fill a casual vacancy or as an addition to the existing directors. Any director so appointed shall hold office only until the conclusion of the next following annual general meeting or any adjournment thereof and shall then be eligible for election in the same manner as a director retiring by rotation, but he shall not be taken into account in determining the directors who are to retire by rotation at such meeting.

Board's power
to appoint
directors.

8.07. The office of a director shall ipso facto be vacated:

Vacation of
office.

- (a) if by written notice to the Institution he resigns from his office of director; or
- (b) if at a meeting of the board specially convened for the purpose of considering the same a resolution to the effect that he cease to be a director shall be passed by a majority consisting of not less than three-fifths of the whole number of directors; or
- (c) if without the consent of the board he is absent from meetings of the board during a continuous period of six months; or
- (d) if he is removed from office under rule 8.05; or
- (e) if he ceases to be a director by virtue of rule 7.03; or
- (f) if he ceases to be a director by virtue of rule 7.04; or

SCH. 1
—cont.

(g) if he is adjudged bankrupt or makes any arrangement or composition with his creditors; or

(h) if he is prohibited from being a director by an order of the court; or

1959 c. 72.

(i) if he becomes incapable, by reason of mental disorder within the meaning of the Mental Health Act 1959, of managing and administering his property and affairs.

A resolution of the board declaring a director to have vacated office as aforesaid shall be conclusive as to the fact and the grounds of vacation stated in the resolution.

DIRECTORS' INTERESTS

Directors' other
interests.

9.01. No director or intending director shall be disqualified by his office from contracting with the Institution either as vendor, purchaser, proposer for a policy, person assured or otherwise, nor shall any such contract, or any contract or arrangement entered into by or on behalf of the Institution in which any director is in any way interested, be liable to be avoided, nor shall any director so contracting or being so interested be liable to account to the Institution for any profit realised by any such contract or arrangement by reason of such director holding that office, or of the fiduciary relationship thereby established, provided that the nature of his interest shall be disclosed by him at the meeting of the board at which the question of entering into the contract or arrangement is first taken into consideration, if his interest then exists, or in any other case at the first meeting of the board after the acquisition of his interest. No director shall vote as a director or be counted towards a quorum in respect of any contract or arrangement in which he may be interested, and if he so votes his vote shall not be counted.

General notice.

9.02. A general notice that a director is a member of any specified firm or company, and is to be regarded as interested in any contract which may after the date of the notice be made with that firm or company, shall be sufficient disclosure under these rules as regards any contract so made, and after such general notice it shall not be necessary for such director to give a special notice relating to any particular transaction with that firm or company; provided that no such notice shall be of effect unless either it is given at a meeting of the board, or the director takes reasonable steps to secure that it is brought up and read at the next meeting of the board after it is given.

Directors'
interests in
subsidiaries,
etc.

9.03. A director may be or become a director or other officer of, or otherwise interested in, any company or business promoted by the Institution or in which the Institution may be interested as shareholder or otherwise, and, subject to disclosure in accordance with rule 9.01 or rule 9.02, no such director shall be accountable to the Institution for any remuneration or other benefits received by him as a director of, or from his interest in, such other company or business.

Directors may
contract with
institution.

9.04. A director may hold any other office or place of profit under the Institution (other than the office of auditor) in conjunction with his office as director for such period and on such terms (as to remuneration and otherwise) as the board may determine, and no director or intending

director shall be disqualified by his office from contracting with the Institution, either with regard to his tenure of any such other office or place of profit, or as vendor, purchaser, proposer for a policy, person assured or otherwise, nor shall any such contract, or any contract or arrangement entered into by or on behalf of the Institution in which any director is in any way interested, be liable to be avoided, nor shall any director so contracting or being so interested be liable to account to the Institution for any profits realised by any such contract or arrangement by reason of such director holding that office or of the fiduciary relationship thereby established. A director, notwithstanding his interest, may be counted in the quorum present at any meeting at which he or any other director is appointed to hold any such office or place of profit under the Institution, or at which the terms of any such appointment are arranged, and he may vote on any such appointment or arrangement other than his own appointment or the arrangement of the terms thereof.

SCH. 1
—cont.

9.05. Any director may act by himself or his firm in a professional capacity (other than in the office of auditor) for the Institution, and he or his firm shall be entitled to remuneration for professional services as if he were not a director.

Directors may
act in a
professional
capacity.

POWERS (INCLUDING INVESTMENT) AND DUTIES OF THE BOARD

10.01. The business of the Institution shall be managed by the board which, in addition to all the powers and authorities expressly conferred on it by these rules or otherwise, may exercise all such powers and do all such acts and things as may be exercised or done by the Institution and as are not by any Act of Parliament or by these rules, required to be exercised or done by the Institution in general meeting, subject nevertheless to these rules, to the provisions of any Act of Parliament and to such directions (not inconsistent with these rules and such provisions) as may be prescribed by the Institution in general meeting. No such direction shall invalidate any prior act of the board which would have been valid if that direction had not been prescribed. The provisions contained in any other rules as to any specific power of the board shall not (except in the context of such respective rules) prejudice the general powers given by this rule.

Management
of business.

10.02. Any business which the Institution is either expressly or impliedly authorised to undertake may be undertaken by the board at such time or times as it thinks fit and may be allowed to be in abeyance, whether or not such business has been actually commenced, so long as the board deems it expedient not to commence or proceed with the same.

What business
may be
undertaken.

10.03. The board shall without prejudice to the general powers conferred upon it by these rules have power from time to time to appoint, remove or suspend such general managers, solicitors, secretaries, actuaries, accountants, surveyors, medical officers and other officers (by such titles as the board may consider appropriate) and all such other employees as it may consider necessary for efficiently

Power to
appoint officers
and employees.

SCH. 1
—cont.

carrying on the business and affairs of the Institution and to negotiate, fix and alter the duties and the salaries, wages and other emoluments of all officers and other employees at its discretion.

**Power to make
regulations.**

10.04. The board may from time to time make, alter and repeal regulations for the management of the business of the Institution and for regulating the duties of its officers and any other matters that require regulation provided that—

- (a) a regulation to the extent that it is inconsistent with any Act of Parliament or with any provision of these rules is to that extent ipso facto void and where and to the extent that it is inconsistent with the law of the place where it is to operate it is in respect of that place and to that extent ipso facto void;
- (b) a regulation may at any time be rescinded or varied by a special resolution.

Investment.

10.05. The board may, in the exercise of the powers contained in rule 2.01, lay out the Institution's funds, so far as they are not required to satisfy the immediate claims on and expenses of the Institution, in such manner and to such advantage and in such assets (whether income-producing or not) as the board thinks fit (excepting loans to individuals on personal security) and (except as aforesaid but otherwise without prejudice to the generality of the foregoing) the Institution's funds may be applied or invested in the United Kingdom or elsewhere in any part of the world—

- (a) in the acquisition (whether by subscription, allotment, tender, purchase, exchange or otherwise howsoever) or underwriting or on the security of any stocks, shares or securities whatsoever;
- (b) in the acquisition (whether by purchase, exchange, partition, foreclosure, or otherwise howsoever), improvement, development, re-development or management of, or on the security of lands, tenements, or hereditaments of any description or tenure (including leaseholds), or of any interest therein or any right connected therewith;
- (c) in the acquisition (whether by subscription, allotment, tender, purchase, exchange or otherwise howsoever), promotion, formation or organisation of any company or business for any purpose within the objects for the time being of the Institution;
- (d) in the lending (except as aforesaid) or deposit of money to or with such persons or bodies of persons whether corporate or unincorporate and on such terms (whether on first or subsequent mortgage or otherwise) as the board may think fit:

Provided nevertheless—

- (i) that the board shall not invest any part of the funds of the Institution in the purchase of or on the security of any stocks, shares and securities the ownership of which would involve the Institution in any liability for calls, contributions or

SCH. 1
—cont.

investments (except calls, contributions or investments made or determined before such investment is made and payable at specified fixed dates) unless such investment has been previously authorised at a meeting of the board and the resolution giving such authority is separately minuted; and

- (ii) that due care shall be taken so to regulate the investments from time to time that sufficient moneys may at all times be immediately raised without difficulty whenever required to satisfy the current claims on and expenses of the Institution.

10.06. The board may from time to time deal with and dispose of any property or investments belonging to the Institution on such terms as it may think proper in the interests of the Institution.

Disposal of
property and
investments.

10.07. The board may receive money on deposit or loan or for accumulation and may borrow or raise money in such manner as it may think fit and in particular by the issue of debentures or debenture stock or other securities (perpetual or otherwise) and may secure the repayment of any money borrowed, raised or owing by mortgage, charge or lien upon all or any of the property or assets of the Institution (both present and future) and may also by mortgage, charge or lien secure and guarantee the performance by the Institution or any other person or company of any obligation undertaken in furtherance of the objects of the Institution by the Institution or any other person or company as the case may be.

Borrowing.

10.08. All policies, contracts, cheques, promissory notes, drafts, bills of exchange and other negotiable instruments, receipts and other documents requiring to be signed, drawn, accepted, endorsed or otherwise executed on behalf of the Institution, may be signed, drawn, accepted, endorsed, or otherwise executed, as the case may be, by such person and in such manner as the board shall from time to time determine. The board may, either generally or in any particular case, determine that the signature of a director or of the secretary or of any other person duly authorised by it to sign may be printed or affixed by some mechanical or other device to be specified by the board, and subject to such precautions as to the use and safe custody of such device as the board after consultation with the auditors may from time to time prescribe.

Execution of
documents.

10.09. The board may establish and maintain or procure the establishment and maintenance of any non-contributory or contributory pension or superannuation fund for the benefit of, and may give or procure the giving of pensions, allowances, gratuities or bonuses or death or disability benefits to or in respect of, any persons who are or were directors, officers or others in the employment of the Institution, or of any company which is or was a subsidiary of the Institution or is or was allied to or associated in business with the Institution or with any such subsidiary company, or who are or were employed in any business acquired by the Institution or by any such other company, and the wives, widows, families, dependants and personal representatives of any such persons. Any director (or his personal representatives

Pension
schemes, etc.

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—cont.

as the case may be) shall be entitled to participate in and retain for his own benefit or for the benefit of his estate any such pension, allowance, gratuity, bonus or death or disability benefit.

Funds, trusts,
charities, etc.

10.10. The board may also procure the establishment and subsidy of or subscription to and support of any institutions, associations, clubs, funds or trusts which it considers to be for the benefit of any such persons as aforesaid or otherwise to advance the interests and well-being of the Institution or of any such other company as is mentioned in rule 10.09, or its members, and payments for or towards the insurance of any such persons as aforesaid. Subject as aforesaid the board shall not make donations for charitable or political purposes.

THE SEAL

The seal.

11.01. The board shall provide for the safe custody of the Institution's common seal, which shall be used only with the authority of such person or persons (including a committee appointed under rule 12.06 and any sub-committee of such committee) to whom the board by resolution may have delegated authority in that behalf. Every instrument to which the seal may be affixed shall be valid if signed by one director and the secretary or by such other person or persons as the board may from time to time authorise in that behalf. In favour of any purchaser or person bona fide dealing with the Institution, such signatures shall be conclusive evidence of the fact that the seal has been properly affixed.

PROCEEDINGS OF THE BOARD AND COMMITTEES

Meetings,
quorum,
casting vote.

12.01. The board may meet together for the dispatch of business, adjourn and otherwise regulate its meetings as it thinks fit and decide the quorum necessary for the transaction of business. Unless and until otherwise decided, five shall be a quorum. Questions arising at any meeting shall be decided by a majority of votes. In case of an equality of votes, the chairman of the meeting shall have a casting vote.

Calling of board
meetings.

12.02. Two directors may, and on the request of two directors the secretary shall, at any time, summon a meeting of the board by notice given to all the directors. A director while absent from the United Kingdom shall not be entitled to receive notice of any meeting of the board.

Chairman.

12.03. The board may elect a chairman and one or more deputy chairmen and may remove them from their respective offices. The chairman shall be entitled to take the chair at all meetings of the board, but if there is no chairman or if at any board meeting he is not present at the time fixed for the commencement of the meeting or if he declines to take or retires from the chair, the deputy chairman or the senior of the deputy chairmen present and willing to act may take the chair and in default the directors present shall appoint a chairman of the meeting.

The provision in rule 5.05 with regard to seniority shall also apply for the purposes of this rule.

SCH. 1
—cont.

12.04. A meeting of the board duly convened and held shall be competent to exercise all or any of the authorities, powers and discretions then vested in or exercisable by the board by virtue of these rules.

Competence
of board
meetings.

12.05. The board may act notwithstanding any vacancy in its body but, if and so long as the number of the directors is reduced below the minimum number or the quorum fixed by or pursuant to these rules, the continuing directors or director may and shall act, notwithstanding that there is no quorum, for the purpose of appointing directors to bring the number of directors up to that number and to form a quorum, or of summoning a general meeting of the Institution for that purpose, but for no other purpose.

Continuing
directors
may act.

12.06. The board may delegate any of its powers with or without power to sub-delegate, to committees consisting of such persons or person as it thinks fit but always including or consisting of at least one director. Any committee so formed shall, in the exercise of the powers so delegated, conform to any regulations from time to time imposed on it by the board and, subject thereto, may determine its own quorum.

Committees.

Any sub-committee of any such committee shall consist of such persons or person as the committee of which it is a sub-committee shall think fit but shall always include or consist of at least one director.

12.07. The board shall cause minutes to be made in books provided for the purpose of the names of the persons present at each meeting of the board and of committees of the board (including sub-committees of such committees) and all orders, resolutions and proceedings of all general meetings and of meetings of the board and of committees of the board (including sub-committees of such committees) and any such minute, if signed by any person purporting to be the chairman of the meeting to which it relates or of the meeting at which the minute is approved, shall be receivable as prima facie evidence of the matters stated in such minute without any further proof.

Minutes.

12.08. All acts done by any meeting of the board or of any committee of the board or of any sub-committee of such committee or by any person or persons acting as a director or directors shall, notwithstanding that it is afterwards discovered that there was some defect in the appointment of any person or persons attending any such meeting as a director or committee member or sub-committee member or of the person or persons acting as a director or directors, or that he or they were disqualified or had vacated office or were not entitled to vote, be as valid as if every such person had been duly appointed, was qualified and had been entitled to vote.

Defect in
appointment.

LOCAL MANAGEMENT

13.01. The board may from time to time provide for the management and transaction of the affairs of the Institution in any specified locality

Local
management.

SCH. 1
—cont.

whether in the United Kingdom or elsewhere in such manner as it thinks fit and the provisions contained in rules 13.02 and 13.03 shall be without prejudice to the general powers conferred by this rule.

Divisional and
local boards.

13.02. The board may establish any divisional or local boards or agencies for managing any sector of the Institution's affairs either in the United Kingdom or elsewhere, may appoint any persons to be members of such boards or any managers or agents, may fix their remuneration, may delegate to any such board, manager or agent any of the powers, authorities and discretions vested in the board with power to sub-delegate and may authorise the members of any such board or any of them to fill any vacancies therein and to act notwithstanding vacancies. Any such appointment or delegation may be made on such terms and subject to such conditions as the board thinks fit. The board may remove any persons so appointed and may annul or vary any such delegation, but no person dealing in good faith and without notice of any such annulment or variation shall be affected thereby.

Powers of
attorney.

13.03. The board may from time to time by power of attorney appoint any company, firm or person or any fluctuating body of persons, whether nominated directly or indirectly by the board, to be the attorney or attorneys of the Institution for such purposes and with such powers, authorities and discretions (not exceeding those vested in or exercisable by the board under these rules or any Act of Parliament) and for such period and subject to such conditions as the board thinks fit and any such appointment may (if the board thinks fit) be made in favour of the members or any of the members of any divisional or local board established as aforesaid or in favour of any company or of the members, directors, nominees or managers of any company or firm or otherwise in favour of any firm or fluctuating body of persons. Any such power of attorney may contain such provisions for the protection and convenience of persons dealing with any such attorney as the board thinks fit and may also authorise any such attorney to sub-delegate all or any of the powers, authorities and discretions vested in him.

MANAGING, ASSISTANT MANAGING AND EXECUTIVE DIRECTORS

Appointment
and removal.

14.01. The board may from time to time appoint one or more of its body to be a managing director, assistant managing director or executive director of the Institution either for a fixed or an indefinite term and may from time to time, without prejudice to the terms of any agreement entered into in any particular case, suspend, remove or dismiss him or them from office.

Not subject
to retirement
by rotation.

14.02. A managing director, assistant managing director or executive director shall not, while holding that office, be subject to retirement by rotation or be taken into account in determining the rotation of retirement of directors but he shall be subject to the same provisions as to resignation and removal as the other directors and, if for any reason he ceases to hold the office of director, he shall ipso facto

(but without prejudice to the terms of any agreement between him and the Institution) immediately cease to be a managing director, assistant managing director or executive director as the case may be.

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—cont.

14.03. A managing director, assistant managing director or executive director shall receive such remuneration (whether in substitution for or in addition to his remuneration as a director) as the board may decide. Remuneration.

14.04. The board may from time to time entrust to and confer on a managing director, assistant managing director or executive director such of the powers exercisable by it under these rules as it thinks fit and may confer such powers for such time and for such objects and purposes and on such terms and conditions and with such restrictions as it thinks fit. Such powers shall not be to the exclusion of or in substitution for all or any of the directors' powers in that behalf and the board may from time to time revoke or vary all or any of such powers. Powers.

LIABILITY AND EXONERATION OF DIRECTORS, OFFICERS AND OTHERS

15.01. No director, divisional or local director, general manager or other officer, employee or trustee of the Institution shall be liable for any omission or otherwise than for his own acts and deeds. No director shall be liable for the sufficiency either in value or title of any investment or security taken by the board on behalf of the Institution or for the acts, receipts, neglects or defaults of any director, divisional or local director, general manager or other officer, employee or trustee but the board and every such director, divisional and local director, general manager and other officer, employee and trustee shall be exonerated upon accounting for, paying over or conveying the funds in its or his hands or under its or his control in terms of these rules and shall be indemnified out of the funds of the Institution against all expenses necessarily incurred by it or him in the execution of its or his respective duties. Indemnity.

PERIODIC INVESTIGATIONS AND DISTRIBUTION OF SURPLUS

16.01. The board shall once in every period of three years or in such shorter period as it may determine (hereinafter called a "bonus period") cause an actuarial investigation (hereinafter called a "periodic investigation") to be made by the actuary into the Institution's ordinary long-term insurance business. Each periodic investigation shall be on such bases and utilise such methods of valuation as the board shall determine having regard to any applicable valuation regulations under section 32 of the Insurance Companies Amendment Act 1973 and shall subject to such regulations take account of the whole of the liabilities and assets relating to that business including any special or reserve funds established under rule 16.04. Periodic investigations. 1973 c. 58.

16.02. At the conclusion of each periodic investigation the board shall allocate to policies entitled to participate in profits the whole or such part of the amount of surplus available for distribution as it shall think fit having regard to the advice of the actuary and the surplus so Declaration of bonus.

SCH. 1
—cont.

allocated shall be applied as bonus additions or otherwise to such of the said policies as are in force at the date of the periodic investigation. The bonuses declared by the board for each class of policy including those classes in respect of which policies are issued in the Temperance section and the General section, shall be at such rates payable at such times and generally applied in such manner as the board, having regard to the advice of the actuary, shall consider to be fair and equitable as between the holders of each class of policy and shall be announced in the next ensuing report of the directors.

Interim
bonuses.

16.03. Whenever during the period between two periodic investigations any policy entitled to participate in profits becomes a claim or is surrendered the board shall pay or allow to the policy holder in respect of that policy such sum by way of interim bonus as it shall, having regard to the advice of the actuary, consider to be fair and equitable.

Special or
reserve funds.

16.04. The board may from time to time establish special or reserve funds for any purpose which it may determine and may allocate to any such fund moneys or property sufficient for that purpose from the general assets of the Institution and such special or reserve funds shall be dealt with in such manner as the board may from time to time determine.

TEMPERANCE AND GENERAL SECTIONS

Temperance
and General
sections.

17.01. The Institution shall issue policies in two sections known as “the Temperance section” and “the General section” under those tables and in relation to those classes of insurance business which the board from time to time considers suitable for division into separate sections.

Temperance
section.

17.02. A policy shall only be issued in the Temperance section at the discretion of the board and on the life of a person (in these rules referred to as “the life assured”) who, at the time of the proposal for the assurance in question, in the Board’s opinion is a total abstainer from the use of intoxicating liquors.

Mortality
records.

17.03. Separate records of the mortality experience among lives assured in respect of policies in the Temperance section and in the General section respectively shall be maintained and full regard shall be had to that experience in deciding the rates of bonus to be declared pursuant to rules 16.02 and 16.03 in respect of each section.

Temperance
declarations.

17.04. A condition of a policy remaining in the Temperance section shall be that the life assured in respect of that policy shall once a year when called upon to do so sign a true declaration in the form approved by the board that he has abstained from all intoxicating liquor since he last signed such a declaration.

Transfer to
General section.

17.05. Should the life assured be unable to make such a declaration or refuse or neglect to do so for one month after—

(a) a formal application has been made for such a declaration by a circular or letter sent to the last registered address in the

United Kingdom of the member in respect of the policy in question; or

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—cont.

(b) such member or such life assured has informed the Institution at the principal office or through one of its agents that the life assured does not intend to sign the declaration; or

(c) the board is otherwise satisfied that such life assured is not a total abstainer from the use of intoxicating liquors;

the board may transfer the policy to the General section. Such transfer shall take effect for bonus purposes as from the commencement of the bonus period during which it is made.

17.06. If a life assured in respect of a policy in the General section is a total abstainer from the use of intoxicating liquors and the member in respect of such policy or such life assured desires to have the policy transferred to the Temperance section the board may at its discretion make such transfer at such time and under such conditions as appear to it to be fit and necessary.

Transfer to
Temperance
section.

17.07. If it comes to the board's knowledge that a life assured in respect of a policy in the Temperance section has signed the required declaration when in fact he was not a total abstainer from the use of intoxicating liquors or has not during the period referred to in the declaration been such an abstainer the board may transfer such policy to the General section and shall have power to treat such policy as though it had always been in the General section and may annul and cancel any additional amount of bonus or bonuses which may have been previously allotted to it because it was in the Temperance section unless it can be proved to its satisfaction that the life assured was a total abstainer from the use of intoxicating liquors and the policy was entitled to be in the Temperance section up to a later date than that from which it proposes to annul or cancel such additional amount and in this case the cancelling and annulling of any such additional amount shall only take effect from the beginning of the bonus period during which the life assured ceased to be a total abstainer from the use of intoxicating liquors.

Cancellation
of bonuses.

17.08. The board may from time to time make, alter or amend such regulations consistent with these rules with regard to the declaration required from lives assured in respect of policies in the Temperance section and as to the form and conditions relating thereto as shall appear to it to be just and necessary.

Regulations.

POLICIES

18.01. The board shall have the sole discretion—

Discretion to
accept.

(a) to accept for such amounts on such conditions and subject to such special provisions as it thinks fit or to postpone the acceptance of or to refuse any proposal for any policy or policies authorised by these rules;

(b) to vary on the advice of the actuary the published rates charged in respect of new proposals; and

(c) to vary the sum assured by or premiums payable under or any condition or special provision of any subsisting policy.

- SCH. 1
—cont.
- Suspension or
waiver of
conditions, etc.
- 18.02. The board may from time to time extend the time for payment of premiums or suspend or waive all or any conditions attaching to or revive a policy which has become void or pay or otherwise use for the benefit of the holder of any policy the whole or any part of the value which may attach to any policy or make any ex gratia payments as it shall think fit.
- Place and time
of payment.
- 18.03. Every claim against the funds of the Institution in respect of a policy shall be payable at the principal office or at such other place as the board may from time to time determine at such time or times as shall be specified in the policy or at such other time or times as may be agreed upon between the board and the claimant or fixed in accordance with these rules.
- Payment to
personal
representatives.
- 18.04. Where any sum of money shall be payable by the Institution under any policy or otherwise to the executors or administrators of any person the board may make payment of such sum to such executors or administrators on production to it of any probate of the will of such person or letters of administration to his estate or other grant of representation obtained in any part of the United Kingdom (excluding the Isle of Man) and the receipt or discharge granted by such executors or administrators shall be valid and effectual in favour of the Institution, provided that nothing contained in this rule shall affect the operation of the provisions of section 19 of the Revenue Act 1889.
- 1889 c. 42.
- Institution not
concerned with
trusts.
- 18.05. The Institution shall not be bound to see to the execution of any trust whether express, implied or constructive to which any policy may be subject and a discharge of such policy by the person in whom the same may be legally vested shall in all cases be a sufficient discharge and exoneration to the Institution of and from all liability thereunder notwithstanding any trust to which such policy may then be subject and whether or not the Institution has had notice of such trust.
- Surrender.
- 18.06. The person in whom any policy is legally vested whether such person is beneficially entitled thereto or holds the same as mortgagee of or as a trustee for any other person may (unless being a mortgagee or trustee he is to the knowledge of the directors expressly prohibited from so doing by the terms of his mortgage or trust) surrender such policy in whole or in part to the Institution either for a cash payment or in consideration of the policy being converted into a paid-up policy for a reduced amount or in exchange for any paid-up or other policy to be substituted for the original policy or for any other consideration or may otherwise deal with such policy as may be agreed between such person and the board and if any policy is legally vested in the Institution as mortgagee or is charged to it by way of deposit or otherwise the Institution may surrender such policy to itself giving credit or otherwise accounting for its surrender value. Any surrender or agreement made or entered into under this rule shall be valid and effectual in all respects.
- Policies of
Assurance Act
1867.
1867 c. 144.
- 18.07. For the purposes of the Policies of Assurance Act 1867 every policy issued by the Institution shall be deemed to be a policy within the meaning of that Act.

ACCOUNTS

SCH. 1

—cont.

19.01. The board shall from time to time decide whether and to what extent, at what times and places and under what conditions or regulations, the accounts and books of the Institution or any of them shall be open to the inspection of members who are not directors. No member who is not a director shall have any right of inspecting any account or book or document of the Institution except as conferred by Act of Parliament or authorised by the board or by the Institution in general meeting.

Inspection
of books.

19.02. A copy of every balance sheet (including every document required by law to be annexed thereto) which is to be laid before the Institution in general meeting together with a copy of the auditors' report shall, not less than twenty-one days before the date of the meeting, be delivered or sent by post to every member but this rule shall not require a copy of those documents to be sent to any person of whose address the Institution is not aware or who has not supplied the Institution with an address in the United Kingdom for service of notices as provided for in rule 21.02 or to more than one of the joint holders of any policy.

Copies of
accounts.

AUDITORS

20.01. The Institution shall at each annual general meeting appoint the Institution's auditors to hold office until the next ensuing annual general meeting. At each annual general meeting the retiring Institution's auditors will for all the purposes of that meeting be considered to continue in office until the conclusion of the meeting or any adjournment of the meeting.

Appointment.

20.02. At any annual general meeting the retiring Institution's auditors however appointed shall be reappointed without any resolution being passed unless—

Reappointment.

- (a) they are not qualified for reappointment; or
- (b) a resolution has been passed at that meeting appointing somebody instead of them, or providing expressly that they shall not be reappointed; or
- (c) they have given the Institution notice in writing of their unwillingness to be reappointed.

20.03. The Institution shall comply with the provisions of section 160 of the Companies Act 1948 in relation to the appointment and removal of the Institution's auditors.

Compliance with
Companies
Acts.

1948 c. 38.

20.04. The Institution's auditors may at any time vacate their office by sending in their resignation in writing to the board.

Resignation.

20.05. The board may fill any casual vacancy in the office of the Institution's auditors, but while any such vacancy continues the surviving or continuing Institution's auditors (if any) may act.

Casual
vacancies.

SCH. 1
—cont.
Remuneration. 20.06. The remuneration of the auditors shall be fixed by the Institution in general meeting, except that the remuneration of auditors appointed to fill a casual vacancy may be fixed by the board.

Directors' auditors. 20.07. The board may from time to time appoint directors' auditors in addition to the Institution's auditors appointed pursuant to rule 20.01 or rule 20.05.

NOTICES

Notices personally or by post. 21.01. Any notice required to be given by the Institution may be given to any member or policy holder whose address appears from the records of the Institution to be in the United Kingdom either personally or by posting it in a prepaid envelope or wrapper addressed to him there, and notice so given shall be good and sufficient notice.

Address in United Kingdom. 21.02. Any member or policy holder whose address is not in the United Kingdom may from time to time notify in writing to the Institution an address in the United Kingdom to be his address for service. A notice may be given to him by posting it in a prepaid envelope or wrapper addressed to him there, and notice so given shall be good and sufficient notice.

No address in United Kingdom. 21.03. As regards those members or policy holders who have no address in the United Kingdom a notice exhibited at the principal office shall be deemed to be given on the date on which it was first exhibited.

Notice by advertisement. 21.04. Any notice required to be given by the Institution to the members or policy holders or any of them and not expressly provided for by these rules shall be sufficiently given if given by advertisement. Any notice required to be or which may be given by advertisement shall be advertised once in three daily newspapers published in London.

Proof and time of service. 21.05. In proving service of a notice given by post it is sufficient to prove that the envelope or wrapper containing the notice was properly addressed, stamped and posted and such notice shall be deemed to have been served when such envelope or wrapper was posted.

Joint policy holders. 21.06. When two or more persons are policy holders in respect of one policy a notice shall be deemed to have been given to all such persons by giving it to the person or surviving person for the time being first named in the policy or (where the policy has been assigned) in any notice of assignment received by the Institution.

Extent of effect of notices. 21.07. Every person who by operation of law or any other means whatsoever becomes the policy holder in respect of any policy shall be bound by every notice in respect of such policy which previously to his name and address being recorded by the Institution shall be duly given to the person from whom he derives his title to such policy.

21.08. Any notice on behalf of the Institution or of the board shall be sufficient if bearing the signature whether written or printed of the secretary or other officer of the Institution authorised in this behalf by the board.

SCH. 1
—cont.
How notice
to be signed.

21.09. Any reference in these rules to a period of notice shall be deemed to be to clear days' notice.

Clear days'
notice.

SERVICE OF PROCESS AND AFFIDAVITS

22.01. Any process or notice required to be served on the Institution may (without prejudice to any other method of service) be served by addressing it to the secretary or other officer of the Institution authorised in this behalf by the board and leaving it at the principal office.

Service of
process.

22.02. Any affidavit, affirmation, statutory or other declaration or other similar document required by or from the Institution may be sworn, made and verified as the case may be on the Institution's behalf by any director, general manager, secretary or other officer of the Institution authorised in this behalf by the board.

Affidavits.

LIMITATION OF LIABILITY

23.01. No holder of any existing policy shall have any right to recover from the members or any of them any sum due or becoming due under such policy; and all existing policies shall be deemed to have been issued or granted on the terms that the funds of the Institution shall alone be liable therefor.

Holders of
existing policies.

23.02. Without prejudice to the efficacy of any such terms as aforesaid contained in any existing policy or class of policies, the Institution shall have power to issue or grant policies on the said terms; and any such term contained in a policy issued after the passing of the Act of 1974 shall be valid and effectual.

Holders of
new policies.

23.03. Neither the Institution nor any other person shall have any power to call upon any member to pay any sum of money not payable by him under the terms of his policy by virtue of which he is a member for the purpose of meeting or contributing to any liability of the Institution; but this rule 23.03 shall cease to have effect immediately before the registration of the Institution under Part VIII of the Companies Act 1948 pursuant to section 11 of the Act of 1974.

Prohibition
of calls on
members.
1948 c. 38.

ALTERATION OF RULES

24.01. The Institution may from time to time by special resolution repeal or alter all or any of these rules, or make new rules to the exclusion of or in addition to these rules and rules or alterations so made shall be of the same validity as if originally contained in these rules and shall be liable to be repealed or altered by any subsequent special resolution.

Alteration
of rules.

SCH. 1
—cont.
Copies of Acts
and rules, etc.

24.02. Copies of the United Kingdom Temperance and General Provident Institution Acts 1909 and 1974 (or of such provisions thereof as shall from time to time be in force), and of these rules shall be kept on sale to policy holders at a price not exceeding twenty-five pence for each copy but no policy holder shall be entitled to more than one copy.

Dissolution.

DISSOLUTION
25.01. If at any time it shall appear necessary or expedient to the board to dissolve the Institution the board may call an extraordinary general meeting of the Institution to consider a special resolution that the Institution be wound up by the court in accordance with the Companies Acts 1948 to 1967.

Section 12.

SCHEDULE 2	
ENACTMENTS REPEALED	
Act	Extent of repeal by this Act
Act of 1909 	The whole Act with the exception of sections 1, 2, 3, 5, 6, 7 and 24.
1930 c. li. United Kingdom Temperance and General Provident Institution Act 1930	The whole Act.